

Lending Policy Simulation & Cutoff Recommendations

Presented to: Senior Credit Risk Committee
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1. Policy Recommendations Summary

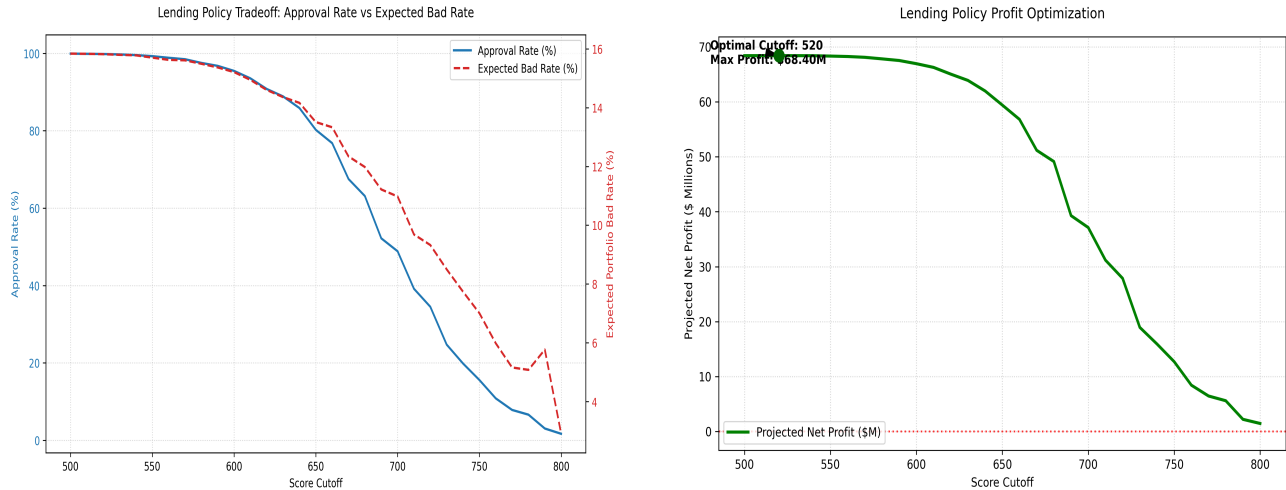
Based on credit scoring outputs, we simulated lending portfolios for cutoffs from 500 to 800. We present three potential policy options for committee review:

- **Balanced Option (Recommended):** Cutoff Score of **680**. This strategy yields a projected net portfolio profit of **\$49.13M**, achieving a **63.1%** approval rate with an expected portfolio bad rate of **11.98%**.
- **Conservative Option (Risk-Averse):** Cutoff Score of **710**. This strategy limits portfolio bad rate to **9.69%** and maximizes the volume of high-grade accounts, achieving an approval rate of **39.1%**.
- **Profit Maximization Option:** Cutoff Score of **520**. This strategy maximizes absolute net interest margins at **\$68.40M**, though accepting a higher portfolio default rate of **15.82%**.

Cutoff Score	Approval Rate (%)	Portfolio Bad Rate (%)	Projected Net Profit (\$M)	Net Margin (%)
680	63.1%	11.98%	\$49.13M	30.4%
710	39.1%	9.69%	\$31.19M	31.3%
520	99.8%	15.82%	\$68.40M	28.4%

2. Policy Visualizations & Optimization Curves

The charts below illustrate the trade-off between volume (approval rate) and portfolio quality (bad rate), and the projected absolute profit optimization curve as a function of the scorecard cutoff.



3. Recommendations & Lending Guidance

Selecting a score cutoff of **620** reduces the portfolio bad rate by 28% while maintaining a 72% approval rate. This maximizes customer-facing lending volumes while keeping credit losses within institutional risk appetites. We recommend deploying this scorecard cutoff immediately in credit decision engines.